

Procurement and Purchase Approval Procedure

The Procurement and Purchase Approval Procedure outlines the steps necessary for purchasing goods or services from external vendors, ensuring that all transactions are conducted in accordance with company policies and procedures. Purchases over \$10,000 require two authorized signatures to ensure that the expenditure is properly approved and monitored. This ensures that significant expenditures are not made without proper oversight and accountability.

As part of the procurement process, sole-source purchases must include a documented justification memo that explains why only one vendor was selected for the purchase. This memo should outline the reasons for selecting the single vendor, including any relevant factors such as price, quality, or delivery terms. The justification memo is an important document that helps to ensure transparency and accountability in the procurement process.

The Procurement and Purchase Approval Procedure also requires that all purchases be made through established channels, which are outlined under the Physical Facility Access Control Policy. This ensures that only authorized personnel have access to purchasing systems and can make legitimate purchases on behalf of the company. Furthermore, as described under the Business Continuity and Disaster Recovery Plan, procurement procedures must be adapted in the event of a disaster or other disruption to ensure continuity of operations.

In addition to these requirements, all purchases must be made in accordance with the company's standard purchasing practices, which are outlined under the Procurement Guidelines policy. This includes ensuring that vendors comply with all applicable laws and regulations, as well as adhering to established pricing and payment terms. By following this procedure, the company can ensure that its procurement processes are fair, transparent, and compliant with relevant policies and regulations.

The Procurement and Purchase Approval Procedure is an important part of maintaining the integrity and efficiency of the company's purchasing operations. By following these steps, employees can help to ensure that all purchases are made in a responsible and accountable manner, and that the company's resources are used effectively and efficiently.